

Economy Topic 28: Direct and Indirect Farm Subsidies and WTO Rules

****Current-status cutoff:**** 10 September 2026. Budget figures are labelled BE; WTO negotiating status is not presented as adopted law.

Learning Roadmap

1. Classify the instrument and trace incidence. 2. Map India's input, income, credit, insurance and price support. 3. Diagnose fiscal, distributional and ecological effects. 4. Apply WTO Agreement on Agriculture rules precisely. 5. Build a sequenced reform and Mains answer.

Core Learning Sessions

Core Session 01: What counts as a farm subsidy

BUDGET TRANSFER -> farmer/input firm
PRICE RULE -> producer/consumer
PUBLIC SERVICE -> sector-wide capability

***Visual first:** What counts as a farm subsidy as a decision chain.

****Definition:**** A subsidy is public support that lowers a producer's cost, raises expected return, transfers income or lowers consumer price relative to a no-support baseline.

****Answer line:**** Classification must follow instrument and incidence, not the scheme label.

****Keywords:**** subsidy, counterfactual, incidence, transfer

****Claim -> named evidence -> analysis -> qualification****

- **Claim:**** Classification must follow instrument and incidence, not the scheme label.
- **Named evidence:**** Union Budget expenditure statements identify explicit transfers; WTO Agreement on Agriculture classifies support by legal design.
- **Analysis:**** This separates fiscal cost from market-price effects and from public-goods spending.
- **Qualification:**** Application depends on the design and dated evidence for "What counts as a farm subsidy" and should not be generalised to unlike programmes.
- **Evidence:**** Union Budget expenditure statements identify explicit transfers; WTO Agreement on Agriculture classifies support by legal design.
- **UPSC trap:**** A useful service such as research is not automatically a producer subsidy; classify its access and conditions.
- **Mains use:**** Open by defining the instrument, recipient, incidence and counterfactual.
- **Recap:**** A subsidy is public support that lowers a producer's cost, raises expected return, transfers income or lowers consumer price relative to a no-support baseline. Application depends on the design and dated evidence for "What counts as a farm subsidy" and should not be generalised to unlike programmes.

Core Session 02: Direct, indirect, explicit and implicit

DIRECT: cash/premium support
INDIRECT: cheap power/credit
EXPLICIT: budget line
IMPLICIT: price/tax wedge

***Visual first:** Direct, indirect, explicit and implicit as a decision chain.

****Definition:**** Direct support reaches a named beneficiary; indirect support changes an input or market price. Explicit support appears as expenditure; implicit support may arise through administered pricing or foregone revenue.

****Answer line:**** The two pairs answer different questions and must not be used as synonyms.

****Keywords:**** direct, indirect, explicit, implicit

****Claim -> named evidence -> analysis -> qualification****

- **Claim:**** The two pairs answer different questions and must not be used as synonyms.
- **Named evidence:**** Budget statements show explicit outlays, while state tariff orders and administered-price rules may create implicit support.
- **Analysis:**** A direct payment can be explicit, while an indirect concession can also be explicitly budget-compensated.
- **Qualification:**** Fiscal accounts may not reveal the full economic subsidy, and an accounting provision does not prove final incidence.
- **Evidence:**** Budget statements show explicit outlays, while state tariff orders and administered-price rules may create implicit support.

****UPSC trap:**** Do not say every direct subsidy is cash or every indirect subsidy is off-budget.

****Mains use:**** Use a 2x2 taxonomy before evaluating reform.

****Recap:**** Direct support reaches a named beneficiary; indirect support changes an input or market price. Explicit support appears as expenditure; implicit support may arise through administered pricing or foregone revenue. Fiscal accounts may not reveal the full economic subsidy, and an accounting provision does not prove final incidence.

Core Session 03: Legal recipient versus economic incidence

LEGAL PAYEE -> PASS-THROUGH -> FARMER / FIRM / LANDOWNER / CONSUMER

***Visual first:** Legal recipient versus economic incidence as a decision chain.

****Definition:**** Economic incidence is the final distribution of benefit after prices, quantities and bargaining adjust.

****Answer line:**** The cheque recipient need not retain the economic benefit.

****Keywords:**** incidence, pass-through, elasticity, tenancy

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The cheque recipient need not retain the economic benefit.

- ****Named evidence:**** Price theory and fiscal-incidence analysis show that supply elasticity, market power and tenancy shape pass-through.

- ****Analysis:**** A fertiliser-company reimbursement can lower farm input price; a tenant may lose part of an income transfer tied to land records.

- ****Qualification:**** Incidence varies across crops, regions and market structures and must be empirically tested.

****Evidence:**** Price theory and fiscal-incidence analysis show that supply elasticity, market power and tenancy shape pass-through.

****UPSC trap:**** Never infer beneficiary incidence from the payment channel alone.

****Mains use:**** Distinguish statutory design, first recipient and final incidence.

****Recap:**** Economic incidence is the final distribution of benefit after prices, quantities and bargaining adjust. Incidence varies across crops, regions and market structures and must be empirically tested.

Core Session 04: Why governments subsidise farming

MARKET FAILURE + EQUITY + STABILITY
|
TARGETED SUPPORT

***Visual first:** Why governments subsidise farming as a decision chain.

****Definition:**** Farm support can address food security, imperfect insurance, positive externalities, smallholder equity and income volatility.

****Answer line:**** The strongest rationale identifies the failure, beneficiary and least-distorting instrument.

****Keywords:**** equity, risk, food security, externality

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The strongest rationale identifies the failure, beneficiary and least-distorting instrument.

- ****Named evidence:**** Public investment evidence and risk-market gaps provide named evidence for intervention.

- ****Analysis:**** Temporary, targeted risk support may stabilise livelihoods without permanently locking input choices.

- ****Qualification:**** Political objectives and weak targeting can outlive the original market failure.

****Evidence:**** Public investment evidence and risk-market gaps provide named evidence for intervention.

****UPSC trap:**** Food security is a rationale, not proof that any subsidy design is efficient.

****Mains use:**** Pair each rationale with design, risk and evaluation metric.

****Recap:**** Farm support can address food security, imperfect insurance, positive externalities, smallholder equity and income volatility. Political objectives and weak targeting can outlive the original market failure.

Core Session 05: Fiscal cost and opportunity cost

SUBSIDY OUTLAY -> LESS FISCAL SPACE -> LOST ALTERNATIVE

***Visual first:** Fiscal cost and opportunity cost as a decision chain.

****Definition:**** Fiscal cost is recorded public expenditure; opportunity cost is the best displaced use of the same resources.

****Answer line:**** A large subsidy can be justified only against both benefits and displaced investment.

****Keywords:**** fiscal cost, opportunity cost, BE, RE

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** A large subsidy can be justified only against both benefits and displaced investment.

- **Named evidence:** Union Budget Statement 7 discloses major subsidy provisions; irrigation, research, health and roads are competing uses.
 - **Analysis:** Recurring input support can crowd out productivity-enhancing public goods even when it raises short-run affordability.
 - **Qualification:** Budget estimates are authorisations, not audited outcomes; compare BE, RE and Actual separately.
- Evidence:** Union Budget Statement 7 discloses major subsidy provisions; irrigation, research, health and roads are competing uses.
- UPSC trap:** Do not quote BE as expenditure already incurred.
- Mains use:** Add the counterfactual use of funds to every fiscal argument.
- Recap:** Fiscal cost is recorded public expenditure; opportunity cost is the best displaced use of the same resources. Budget estimates are authorisations, not audited outcomes; compare BE, RE and Actual separately.

Core Session 06: FY 2026-27 Union Budget snapshot

FY 2026-27 BE, Rs crore
 UREA 116,799 | NBS 54,000
 PM-KISAN 60,000 | MISS 22,600 | PMFBY 12,200

- Visual first:** FY 2026-27 Union Budget snapshot as a decision chain.
- Definition:** A Budget Estimate is the government's planned provision for a financial year, not a realised outcome.
- Answer line:** Current figures are safe only when indicator, period and status are stated together.
- Keywords:** Budget Estimate, fertiliser, PM-KISAN, PMFBY
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** Current figures are safe only when indicator, period and status are stated together.
 - **Named evidence:** Union Budget 2026-27, Expenditure Profile, Statement 7, reports these Budget Estimates.
 - **Analysis:** The snapshot shows scale and composition, but not incidence, efficiency or eventual spending.
 - **Qualification:** Application depends on the design and dated evidence for "FY 2026-27 Union Budget snapshot" and should not be generalised to unlike programmes.
- Evidence:** Union Budget 2026-27, Expenditure Profile, Statement 7, reports these Budget Estimates.
- UPSC trap:** Do not add urea and NBS to other farm schemes as if all measure the same policy function.
- Mains use:** Use one dated figure, then analyse design rather than data-dump.
- Recap:** A Budget Estimate is the government's planned provision for a financial year, not a realised outcome. Application depends on the design and dated evidence for "FY 2026-27 Union Budget snapshot" and should not be generalised to unlike programmes.

Core Session 07: PM-KISAN as income support

LAND RECORD + ELIGIBILITY -> 3 x Rs 2,000 DBT -> INCOME SUPPORT

- Visual first:** PM-KISAN as income support as a decision chain.
- Definition:** PM-KISAN is a Central Sector income-transfer scheme providing eligible landholding farmer families Rs 6,000 a year in three Rs 2,000 instalments, subject to exclusions and verification.
- Answer line:** Decoupled income support is generally less input-specific than subsidising a particular fertiliser or crop.
- Keywords:** PM-KISAN, income support, DBT, exclusion
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** Decoupled income support is generally less input-specific than subsidising a particular fertiliser or crop.
 - **Named evidence:** PM-KISAN official operational guidelines and the FY 2026-27 BE of Rs 60,000 crore provide the named design and fiscal anchor.
 - **Analysis:** Cash improves choice but land-record dependence can exclude tenants or create verification errors.
 - **Qualification:** Application depends on the design and dated evidence for "PM-KISAN as income support" and should not be generalised to unlike programmes.
- Evidence:** PM-KISAN official operational guidelines and the FY 2026-27 BE of Rs 60,000 crore provide the named design and fiscal anchor.
- UPSC trap:** Do not treat a budget provision as proof of universal coverage or income impact.
- Mains use:** Evaluate adequacy, coverage, exclusion, timeliness and land-record bias.
- Recap:** PM-KISAN is a Central Sector income-transfer scheme providing eligible landholding farmer families Rs 6,000 a year in three Rs 2,000 instalments, subject to exclusions and verification. Application depends on the design and dated evidence for "PM-KISAN as income support" and should not be generalised to unlike programmes.

Core Session 08: State income-support schemes

UNION FLOOR + STATE DESIGN -> UNEVEN SUPPORT MAP

***Visual first:** State income-support schemes as a decision chain.

****Definition:**** State transfers can supplement Union support but differ in beneficiary unit, crop linkage, tenancy treatment and fiscal design.

****Answer line:**** State schemes must be compared by current rules, not merged into one national entitlement.

****Keywords:**** federalism, state support, eligibility, portability

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** State schemes must be compared by current rules, not merged into one national entitlement.

- ****Named evidence:**** State budget and scheme orders are the controlling evidence; no undated amount is reproduced here.

- ****Analysis:**** Federal variation allows innovation but can widen regional support gaps.

- ****Qualification:**** Application depends on the design and dated evidence for "State income-support schemes" and should not be generalised to unlike programmes.

****Evidence:**** State budget and scheme orders are the controlling evidence; no undated amount is reproduced here.

****UPSC trap:**** A scheme name does not establish current amount, eligibility or continued operation.

****Mains use:**** Use states only as dated illustrations and test portability and tenant inclusion.

****Recap:**** State transfers can supplement Union support but differ in beneficiary unit, crop linkage, tenancy treatment and fiscal design. Application depends on the design and dated evidence for "State income-support schemes" and should not be generalised to unlike programmes.

Core Session 09: Fertiliser DBT: what it is

FARMER PURCHASE -> PoS RECORD -> COMPANY SUBSIDY CLAIM

***Visual first:** Fertiliser DBT: what it is as a decision chain.

****Definition:**** Fertiliser DBT releases subsidy to companies on actual retail sales recorded through point-of-sale devices; it is not cash paid to farmers.

****Answer line:**** The reform changes verification and payment timing, not the administered retail-price architecture.

****Keywords:**** fertiliser DBT, PoS, company reimbursement, diversion

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The reform changes verification and payment timing, not the administered retail-price architecture.

- ****Named evidence:**** Department of Fertilisers states rollout began in October 2016 and pan-India implementation was completed by March 2018.

- ****Analysis:**** Transaction verification can reduce diversion, while cheap product prices may still encourage imbalance.

- ****Qualification:**** Application depends on the design and dated evidence for "Fertiliser DBT: what it is" and should not be generalised to unlike programmes.

****Evidence:**** Department of Fertilisers states rollout began in October 2016 and pan-India implementation was completed by March 2018.

****UPSC trap:**** Do not equate 'DBT' here with PM-KISAN-style beneficiary cash.

****Mains use:**** Explain delivery reform separately from price and nutrient reform.

****Recap:**** Fertiliser DBT releases subsidy to companies on actual retail sales recorded through point-of-sale devices; it is not cash paid to farmers. Application depends on the design and dated evidence for "Fertiliser DBT: what it is" and should not be generalised to unlike programmes.

Core Session 10: Nutrient Based Subsidy

N + P + K + S RATES -> GRADE SUBSIDY

***Visual first:** Nutrient Based Subsidy as a decision chain.

****Definition:**** NBS fixes per-kilogram subsidy for notified nutrients in phosphatic and potassic fertilisers and converts it into per-tonne support for covered grades.

****Answer line:**** NBS links support to nutrient content, but retail choices still depend on relative prices and agronomy.

****Keywords:**** NBS, P&K, nutrients, per-tonne subsidy

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** NBS links support to nutrient content, but retail choices still depend on relative prices and agronomy.

- ****Named evidence:**** Department of Fertilisers records operation from 1 April 2010 and currently lists 28 covered P&K grades.

- **Analysis:** Nutrient pricing can improve transparency yet cannot correct imbalance while urea follows a separate regime.
- **Qualification:** Application depends on the design and dated evidence for "Nutrient Based Subsidy" and should not be generalised to unlike programmes.
- Evidence:** Department of Fertilisers records operation from 1 April 2010 and currently lists 28 covered P&K grades.
- UPSC trap:** Do not place urea inside NBS.
- Mains use:** Use NBS to show that formula reform and relative-price reform are distinct.
- Recap:** NBS fixes per-kilogram subsidy for notified nutrients in phosphatic and potassic fertilisers and converts it into per-tonne support for covered grades. Application depends on the design and dated evidence for "Nutrient Based Subsidy" and should not be generalised to unlike programmes.

Core Session 11: Urea outside NBS

UREA REGIME != NBS P&K REGIME

- Visual first:** Urea outside NBS as a decision chain.
- Definition:** Urea is governed by a separate pricing and subsidy framework rather than the NBS applied to notified P&K grades.
- Answer line:** Asymmetric nutrient pricing can bias application toward nitrogen.
- Keywords:** urea, nitrogen, relative price, imbalance
- Claim -> named evidence -> analysis -> qualification**
 - Claim:** Asymmetric nutrient pricing can bias application toward nitrogen.
 - Named evidence:** The Department of Fertilisers' separate urea and P&K policy wings provide the institutional evidence.
 - Analysis:** A low urea price can raise private affordability while imposing soil, water and fiscal externalities.
 - Qualification:** Application depends on the design and dated evidence for "Urea outside NBS" and should not be generalised to unlike programmes.
 - Evidence:** The Department of Fertilisers' separate urea and P&K policy wings provide the institutional evidence.
 - UPSC trap:** Do not say all fertilisers are decontrolled or all prices are market-determined.
 - Mains use:** Link price ratios to balanced fertilisation, extension and soil testing.
 - Recap:** Urea is governed by a separate pricing and subsidy framework rather than the NBS applied to notified P&K grades. Application depends on the design and dated evidence for "Urea outside NBS" and should not be generalised to unlike programmes.

Core Session 12: Power subsidy

CHEAP/FLAT POWER -> LOW PUMPING COST -> MORE WATER USE

- Visual first:** Power subsidy as a decision chain.
- Definition:** Farm power support may be delivered through free or below-cost tariffs, cross-subsidy or budget compensation under state-level arrangements.
- Answer line:** Price signals matter because electricity and groundwater use are jointly determined.
- Keywords:** power tariff, groundwater, cross-subsidy, metering
- Claim -> named evidence -> analysis -> qualification**
 - Claim:** Price signals matter because electricity and groundwater use are jointly determined.
 - Named evidence:** State tariff orders and budget subsidy statements, not a single Union figure, are the correct evidence.
 - Analysis:** Support can protect smallholders but flat or free supply may reward high-volume extraction and weaken utility finances.
 - Qualification:** Application depends on the design and dated evidence for "Power subsidy" and should not be generalised to unlike programmes.
 - Evidence:** State tariff orders and budget subsidy statements, not a single Union figure, are the correct evidence.
 - UPSC trap:** Do not quote one national power-subsidy amount without a common official methodology.
 - Mains use:** Recommend metering with lifeline support and transition protection.
 - Recap:** Farm power support may be delivered through free or below-cost tariffs, cross-subsidy or budget compensation under state-level arrangements. Application depends on the design and dated evidence for "Power subsidy" and should not be generalised to unlike programmes.

Core Session 13: Water-energy-crop feedback

LOW POWER PRICE -> PUMPING -> WATER CROP -> PROCUREMENT -> LOCK-IN

- Visual first:** Water-energy-crop feedback as a decision chain.
- Definition:** Cheap power, underpriced irrigation and assured procurement can reinforce water-intensive crop choices.

****Answer line:**** Subsidies interact; single-instrument reform may shift rather than solve distortion.

****Keywords:**** water-energy-crop nexus, lock-in, externality

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Subsidies interact; single-instrument reform may shift rather than solve distortion.
- ****Named evidence:**** Groundwater stress assessments, tariff design and procurement patterns form the named evidence chain.
- ****Analysis:**** The loop raises private returns but transfers ecological and fiscal costs to society.
- ****Qualification:**** Application depends on the design and dated evidence for "Water-energy-crop feedback" and should not be generalised to unlike programmes.
- **Evidence:**** Groundwater stress assessments, tariff design and procurement patterns form the named evidence chain.
- **UPSC trap:**** Correlation is not uniform causation; agro-climatic and market conditions vary.
- **Mains use:**** Use a systems diagram and propose coordinated price, crop and income reform.
- **Recap:**** Cheap power, underpriced irrigation and assured procurement can reinforce water-intensive crop choices. Application depends on the design and dated evidence for "Water-energy-crop feedback" and should not be generalised to unlike programmes.

Core Session 14: Irrigation support

CAPITAL PROJECT + LOW USER CHARGE -> PRIVATE WATER BENEFIT

***Visual first:** Irrigation support as a decision chain.

****Definition:**** Irrigation subsidy can arise through concessional project charges, operation-and-maintenance gaps or capital support.

****Answer line:**** Irrigation can create productivity and resilience gains, but distribution depends on command-area access.

****Keywords:**** irrigation, user charge, command area, water productivity

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Irrigation can create productivity and resilience gains, but distribution depends on command-area access.
- ****Named evidence:**** Project accounts and state irrigation charges are the relevant named evidence.
- ****Analysis:**** Canal support may be progressive where smallholders gain reliable water, yet head-tail inequity and maintenance shortfalls can reverse this.
- ****Qualification:**** Application depends on the design and dated evidence for "Irrigation support" and should not be generalised to unlike programmes.
- **Evidence:**** Project accounts and state irrigation charges are the relevant named evidence.
- **UPSC trap:**** Do not treat all irrigation expenditure as subsidy; separate public capital formation from under-recovery.
- **Mains use:**** Assess access, reliability, maintenance, water productivity and equity.
- **Recap:**** Irrigation subsidy can arise through concessional project charges, operation-and-maintenance gaps or capital support. Application depends on the design and dated evidence for "Irrigation support" and should not be generalised to unlike programmes.

Core Session 15: Credit subsidy and interest subvention

BANK LOAN -> INTEREST SUPPORT -> LOWER EFFECTIVE RATE

***Visual first:** Credit subsidy and interest subvention as a decision chain.

****Definition:**** Credit subsidy lowers effective borrowing cost through interest support or guarantee, distinct from credit availability itself.

****Answer line:**** Cheap formal credit helps liquidity only when eligible farmers can access it and use it productively.

****Keywords:**** interest subvention, KCC, additionality, credit

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Cheap formal credit helps liquidity only when eligible farmers can access it and use it productively.
- ****Named evidence:**** FY 2026-27 Budget Statement 7 provides a Rs 22,600 crore BE for the Modified Interest Subvention Scheme.
- ****Analysis:**** Subvention may reduce cost but can favour borrowers with records and collateral while tenants remain informal.
- ****Qualification:**** Application depends on the design and dated evidence for "Credit subsidy and interest subvention" and should not be generalised to unlike programmes.
- **Evidence:**** FY 2026-27 Budget Statement 7 provides a Rs 22,600 crore BE for the Modified Interest Subvention Scheme.
- **UPSC trap:**** Do not count the whole loan principal as subsidy.
- **Mains use:**** Evaluate access, additionality, repayment incentives and exclusion.
- **Recap:**** Credit subsidy lowers effective borrowing cost through interest support or guarantee, distinct from credit availability itself. Application depends on the design and dated evidence for "Credit subsidy and interest subvention" and should not be generalised to unlike programmes.

unlike programmes.

Core Session 16: Crop-insurance premium support

PREMIUM SUBSIDY -> INSURANCE POOL -> CLAIM IF TRIGGER

Visual first: Crop-insurance premium support as a decision chain.

Definition: Premium subsidy shares the cost of an insurance contract; it is risk support, not guaranteed compensation for every loss.

Answer line: Insurance support is justified by correlated agricultural risk, but outcome depends on product design and claims performance.

Keywords: PMFBY, premium subsidy, basis risk, claims

Claim -> named evidence -> analysis -> qualification

- **Claim:** Insurance support is justified by correlated agricultural risk, but outcome depends on product design and claims performance.
- **Named evidence:** FY 2026-27 Budget Statement 7 provides a Rs 12,200 crore BE for PMFBY.
- **Analysis:** Lower premium can widen coverage, while basis risk, assessment delay and weak awareness reduce protection.
- **Qualification:** Application depends on the design and dated evidence for "Crop-insurance premium support" and should not be generalised to unlike programmes.

Evidence: FY 2026-27 Budget Statement 7 provides a Rs 12,200 crore BE for PMFBY.

UPSC trap: Do not confuse premium subsidy with indemnity or budget provision with claims paid.

Mains use: Evaluate enrolment, basis risk, settlement time and risk reduction.

Recap: Premium subsidy shares the cost of an insurance contract; it is risk support, not guaranteed compensation for every loss. Application depends on the design and dated evidence for "Crop-insurance premium support" and should not be generalised to unlike programmes.

Core Session 17: Seed, machinery and capital support

GRANT -> ASSET/INPUT ADOPTION -> PRODUCTIVITY?

Visual first: Seed, machinery and capital support as a decision chain.

Definition: Capital or input grants lower acquisition cost for approved seed, machinery, storage or irrigation assets.

Answer line: Asset support should be judged by additional adoption and use, not sanction counts.

Keywords: capital subsidy, seed, machinery, additionality

Claim -> named evidence -> analysis -> qualification

- **Claim:** Asset support should be judged by additional adoption and use, not sanction counts.
- **Named evidence:** Scheme guidelines, beneficiary records and asset-use audits are the appropriate evidence.
- **Analysis:** Grants may overcome fixed costs but can induce supplier capture, unsuitable purchases or elite capture.
- **Qualification:** Application depends on the design and dated evidence for "Seed, machinery and capital support" and should not be generalised to unlike programmes.

Evidence: Scheme guidelines, beneficiary records and asset-use audits are the appropriate evidence.

UPSC trap: A subsidised asset is not automatically productive.

Mains use: Require need assessment, competition, maintenance and outcome audits.

Recap: Capital or input grants lower acquisition cost for approved seed, machinery, storage or irrigation assets. Application depends on the design and dated evidence for "Seed, machinery and capital support" and should not be generalised to unlike programmes.

Core Session 18: MSP, procurement and subsidy are different

MSP ANNOUNCEMENT -> OFFER
PROCUREMENT -> PURCHASE
WTO MPS -> LEGAL CALCULATION

Visual first: MSP, procurement and subsidy are different as a decision chain.

Definition: MSP is an announced floor signal; procurement is an actual purchase; budget subsidy finances a policy cost; WTO market-price support follows its own legal formula.

Answer line: Conflating these concepts produces wrong fiscal and WTO conclusions.

Keywords: MSP, procurement, fiscal subsidy, market-price support

Claim -> named evidence -> analysis -> qualification

- **Claim:** Conflating these concepts produces wrong fiscal and WTO conclusions.
 - **Named evidence:** CACP/department orders, procurement records, budget accounts and AoA Annex 3 are distinct named evidence sources.
 - **Analysis:** An announced price may affect expectations even with limited purchase, while WTO support can be calculated without equalling procurement spending.
 - **Qualification:** Application depends on the design and dated evidence for "MSP, procurement and subsidy are different" and should not be generalised to unlike programmes.
- Evidence:** CACP/department orders, procurement records, budget accounts and AoA Annex 3 are distinct named evidence sources.
- UPSC trap:** Do not call total procurement value a subsidy.
- Mains use:** Define each layer before discussing welfare or WTO compatibility.
- Recap:** MSP is an announced floor signal; procurement is an actual purchase; budget subsidy finances a policy cost; WTO market-price support follows its own legal formula. Application depends on the design and dated evidence for "MSP, procurement and subsidy are different" and should not be generalised to unlike programmes.

Core Session 19: Producer support versus consumer subsidy

PRODUCER PRICE UP <- STATE -> CONSUMER PRICE DOWN

- Visual first:** Producer support versus consumer subsidy as a decision chain.
- Definition:** A policy can raise producer returns, lower consumer prices or do both through separate fiscal operations.
- Answer line:** Food policy incidence must trace both sides and the financing gap.
- Keywords:** producer support, consumer subsidy, net buyer
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** Food policy incidence must trace both sides and the financing gap.
 - **Named evidence:** Procurement, buffer operations and food-subsidy accounts provide the named evidence architecture.
 - **Analysis:** Producer and consumer objectives can conflict when the same commodity price cannot simultaneously rise and fall without fiscal intermediation.
 - **Qualification:** Application depends on the design and dated evidence for "Producer support versus consumer subsidy" and should not be generalised to unlike programmes.
- Evidence:** Procurement, buffer operations and food-subsidy accounts provide the named evidence architecture.
- UPSC trap:** Do not assume a high producer price automatically benefits net food-buying farmers.
- Mains use:** Separate producer, consumer, stockholding and fiscal accounts.
- Recap:** A policy can raise producer returns, lower consumer prices or do both through separate fiscal operations. Application depends on the design and dated evidence for "Producer support versus consumer subsidy" and should not be generalised to unlike programmes.

Core Session 20: Public goods versus private subsidies

PUBLIC GOOD -> BROAD PRODUCTIVITY
PRIVATE DISCOUNT -> USER BENEFIT

- Visual first:** Public goods versus private subsidies as a decision chain.
- Definition:** Research, disease control, roads and market information are often non-rival or spillover-rich services; input discounts are private-price support.
- Answer line:** Rebalancing toward public goods can improve long-run productivity without denying transitional income protection.
- Keywords:** public goods, R&D, infrastructure, spillover
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** Rebalancing toward public goods can improve long-run productivity without denying transitional income protection.
 - **Named evidence:** Agricultural R&D and infrastructure evaluation supplies the named evidence class.
 - **Analysis:** Public investment may have slower visible returns and still suffer location or quality bias.
 - **Qualification:** Application depends on the design and dated evidence for "Public goods versus private subsidies" and should not be generalised to unlike programmes.
- Evidence:** Agricultural R&D and infrastructure evaluation supplies the named evidence class.
- UPSC trap:** Do not label every agricultural expenditure either 'subsidy' or 'investment' without analysing access and benefit.
- Mains use:** Contrast recurring input support with capability-creating expenditure.

****Recap:**** Research, disease control, roads and market information are often non-rival or spillover-rich services; input discounts are private-price support. Application depends on the design and dated evidence for "Public goods versus private subsidies" and should not be generalised to unlike programmes.

Core Session 21: Leakage, diversion and ghost beneficiaries

ALLOCATION -> DELIVERY GAP -> INTENDED BENEFIT

***Visual first:** Leakage, diversion and ghost beneficiaries as a decision chain.

****Definition:**** Leakage occurs when support is diverted, duplicated, fraudulently claimed or retained by ineligible actors.

****Answer line:**** Delivery reform should target the identified failure rather than merely digitise it.

****Keywords:**** leakage, diversion, authentication, grievance

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Delivery reform should target the identified failure rather than merely digitise it.
- ****Named evidence:**** PoS records, audits, social audits and beneficiary reconciliation are named evidence mechanisms.
- ****Analysis:**** Authentication may reduce duplicate claims but create exclusion, connectivity and grievance costs.
- ****Qualification:**** Application depends on the design and dated evidence for "Leakage, diversion and ghost beneficiaries" and should not be generalised to unlike programmes.

****Evidence:**** PoS records, audits, social audits and beneficiary reconciliation are named evidence mechanisms.

****UPSC trap:**** Do not treat digital verification as proof of zero leakage.

****Mains use:**** Pair authentication with offline fallback, audit and appeal.

****Recap:**** Leakage occurs when support is diverted, duplicated, fraudulently claimed or retained by ineligible actors. Application depends on the design and dated evidence for "Leakage, diversion and ghost beneficiaries" and should not be generalised to unlike programmes.

Core Session 22: Regressivity and land-size effects

USE-BASED SUBSIDY -> MORE INPUT USE -> LARGER BENEFIT

***Visual first:** Regressivity and land-size effects as a decision chain.

****Definition:**** A subsidy is regressive when larger or richer beneficiaries capture a disproportionate share relative to need or contribution.

****Answer line:**** Quantity-linked subsidies often favour users with more land, pumps, credit or market access.

****Keywords:**** regressivity, land size, capture, distribution

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Quantity-linked subsidies often favour users with more land, pumps, credit or market access.
- ****Named evidence:**** Household incidence studies and administrative beneficiary distributions are the right evidence.
- ****Analysis:**** Some broad support can still protect vulnerable regions; incidence must be measured, not assumed.
- ****Qualification:**** Application depends on the design and dated evidence for "Regressivity and land-size effects" and should not be generalised to unlike programmes.

****Evidence:**** Household incidence studies and administrative beneficiary distributions are the right evidence.

****UPSC trap:**** Per-unit subsidy is not equal per-farmer benefit.

****Mains use:**** Report benefit by land class, tenancy, gender and region.

****Recap:**** A subsidy is regressive when larger or richer beneficiaries capture a disproportionate share relative to need or contribution. Application depends on the design and dated evidence for "Regressivity and land-size effects" and should not be generalised to unlike programmes.

Core Session 23: Resource overuse and environmental cost

PRICE BELOW SOCIAL COST -> OVERUSE -> SOIL/WATER/EMISSIONS

***Visual first:** Resource overuse and environmental cost as a decision chain.

****Definition:**** When private input price is below social cost, consumption can exceed the efficient level.

****Answer line:**** Environmental externalities are central to subsidy reform, not an optional add-on.

****Keywords:**** externality, overuse, soil, emissions

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Environmental externalities are central to subsidy reform, not an optional add-on.

- **Named evidence:** Soil-health, groundwater and emissions evidence identifies the affected margin.
 - **Analysis:** Removing support abruptly can hurt incomes or food supply unless alternatives and compensation exist.
 - **Qualification:** Application depends on the design and dated evidence for "Resource overuse and environmental cost" and should not be generalised to unlike programmes.
- Evidence:** Soil-health, groundwater and emissions evidence identifies the affected margin.
- UPSC trap:** Do not propose uniform withdrawal without agro-ecological differentiation.
- Mains use:** Combine corrected prices with extension, technology and targeted income support.
- Recap:** When private input price is below social cost, consumption can exceed the efficient level. Application depends on the design and dated evidence for "Resource overuse and environmental cost" and should not be generalised to unlike programmes.

Core Session 24: Crop distortion and regional lock-in

RELATIVE RETURN -> CROP CHOICE -> REGIONAL SPECIALISATION

- Visual first:** Crop distortion and regional lock-in as a decision chain.
- Definition:** Commodity-specific price and input support can alter crop choice and concentrate production geographically.
- Answer line:** Support affects margins, not just income levels.
- Keywords:** crop distortion, relative return, lock-in
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** Support affects margins, not just income levels.
 - **Named evidence:** Procurement concentration, irrigation access and input-price evidence form the named chain.
 - **Analysis:** Specialisation can exploit comparative advantage but becomes costly when ecological and market risks are ignored.
 - **Qualification:** Application depends on the design and dated evidence for "Crop distortion and regional lock-in" and should not be generalised to unlike programmes.
- Evidence:** Procurement concentration, irrigation access and input-price evidence form the named chain.
- UPSC trap:** Do not infer distortion merely because a supported crop expands.
- Mains use:** Compare social cost, agro-climatic suitability and counterfactual returns.
- Recap:** Commodity-specific price and input support can alter crop choice and concentrate production geographically. Application depends on the design and dated evidence for "Crop distortion and regional lock-in" and should not be generalised to unlike programmes.

Core Session 25: Targeting reform

UNIVERSAL -> BROAD COVERAGE
TARGETED -> LOWER COST + ERROR RISK

- Visual first:** Targeting reform as a decision chain.
- Definition:** Targeting narrows eligibility by need, land, region, crop or vulnerability; it trades fiscal precision against administrative error.
- Answer line:** Better targeting requires reliable data, simple rules and accessible correction.
- Keywords:** targeting, inclusion error, exclusion error
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** Better targeting requires reliable data, simple rules and accessible correction.
 - **Named evidence:** Beneficiary databases, audit trails and grievance outcomes provide named evidence.
 - **Analysis:** Means tests may reduce inclusion error while increasing exclusion and compliance burden.
 - **Qualification:** Application depends on the design and dated evidence for "Targeting reform" and should not be generalised to unlike programmes.
- Evidence:** Beneficiary databases, audit trails and grievance outcomes provide named evidence.
- UPSC trap:** Targeting is not automatically equitable.
- Mains use:** Choose criteria linked to the policy failure and audit exclusion.
- Recap:** Targeting narrows eligibility by need, land, region, crop or vulnerability; it trades fiscal precision against administrative error. Application depends on the design and dated evidence for "Targeting reform" and should not be generalised to unlike programmes.

Core Session 26: DBT reform beyond payment plumbing

IDENTIFY -> AUTHENTICATE -> TRANSFER/REIMBURSE -> APPEAL

***Visual first:** DBT reform beyond payment plumbing as a decision chain.

****Definition:**** DBT is a delivery architecture; it can pay beneficiaries, reimburse suppliers or verify transactions depending on scheme design.

****Answer line:**** A digital rail does not settle the deeper question of price, entitlement or incidence.

****Keywords:**** DBT, delivery, entitlement, traceability

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** A digital rail does not settle the deeper question of price, entitlement or incidence.
- ****Named evidence:**** Fertiliser DBT and PM-KISAN demonstrate different official DBT designs.
- ****Analysis:**** DBT can improve traceability while preserving distorted prices or excluding undocumented users.
- ****Qualification:**** Application depends on the design and dated evidence for "DBT reform beyond payment plumbing" and should not be generalised to unlike programmes.
- ****Evidence:**** Fertiliser DBT and PM-KISAN demonstrate different official DBT designs.

****UPSC trap:**** Do not infer cash transfer from the acronym DBT.

****Mains use:**** Specify payer, recipient, trigger, price rule and grievance channel.

****Recap:**** DBT is a delivery architecture; it can pay beneficiaries, reimburse suppliers or verify transactions depending on scheme design. Application depends on the design and dated evidence for "DBT reform beyond payment plumbing" and should not be generalised to unlike programmes.

Core Session 27: Metering with lifeline protection

METER -> MEASURE
TARIFF -> SIGNAL
TRANSFER -> PROTECT

***Visual first:** Metering with lifeline protection as a decision chain.

****Definition:**** Metering measures consumption; tariff reform changes price. A lifeline block or cash compensation can protect basic use.

****Answer line:**** Sequenced reform can preserve equity while reducing open-ended quantity subsidy.

****Keywords:**** metering, lifeline tariff, compensation, sequencing

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Sequenced reform can preserve equity while reducing open-ended quantity subsidy.
- ****Named evidence:**** State power reforms and feeder-level energy accounts are named evidence types.
- ****Analysis:**** Metering supports accountability but requires reliable supply, accurate billing and trusted compensation.
- ****Qualification:**** Application depends on the design and dated evidence for "Metering with lifeline protection" and should not be generalised to unlike programmes.
- ****Evidence:**** State power reforms and feeder-level energy accounts are named evidence types.

****UPSC trap:**** Meters alone do not save groundwater.

****Mains use:**** Sequence service quality, measurement, capped support and ecological rules.

****Recap:**** Metering measures consumption; tariff reform changes price. A lifeline block or cash compensation can protect basic use. Application depends on the design and dated evidence for "Metering with lifeline protection" and should not be generalised to unlike programmes.

Core Session 28: Nutrient-balanced support

SOIL NEED -> BALANCED N:P:K:S -> PRODUCTIVITY + SOIL HEALTH

***Visual first:** Nutrient-balanced support as a decision chain.

****Definition:**** Nutrient reform aligns relative prices with agronomic needs rather than maximising one subsidised nutrient.

****Answer line:**** Balanced fertilisation needs pricing, soil diagnostics, extension and product availability together.

****Keywords:**** nutrient balance, soil test, relative price

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Balanced fertilisation needs pricing, soil diagnostics, extension and product availability together.
- ****Named evidence:**** NBS design and Soil Health Card evidence provide the named policy chain.
- ****Analysis:**** A formula can improve incentives but farmers respond to cash constraints, dealer supply and risk.

• **Qualification:** Application depends on the design and dated evidence for "Nutrient-balanced support" and should not be generalised to unlike programmes.

Evidence: NBS design and Soil Health Card evidence provide the named policy chain.

UPSC trap: Do not claim NBS alone guarantees balanced use.

Mains use: Recommend relative-price correction plus local agronomy and monitoring.

Recap: Nutrient reform aligns relative prices with agronomic needs rather than maximising one subsidised nutrient. Application depends on the design and dated evidence for "Nutrient-balanced support" and should not be generalised to unlike programmes.

Core Session 29: Decoupling

INPUT/OUTPUT LINK REMOVED -> INCOME SUPPORT

Visual first: Decoupling as a decision chain.

Definition: Decoupled support is not tied to current output or input use, reducing the incentive to overproduce the supported item.

Answer line: Decoupling can reduce production distortion while retaining a safety net.

Keywords: decoupling, income support, rent capitalisation

Claim -> named evidence -> analysis -> qualification

• **Claim:** Decoupling can reduce production distortion while retaining a safety net.

• **Named evidence:** AoA Green Box design criteria and income-transfer programmes provide named evidence.

• **Analysis:** Land-linked payments may capitalise into rents, exclude tenants or preserve historical inequity.

• **Qualification:** Application depends on the design and dated evidence for "Decoupling" and should not be generalised to unlike programmes.

Evidence: AoA Green Box design criteria and income-transfer programmes provide named evidence.

UPSC trap: Cash is not automatically fully decoupled.

Mains use: Test eligibility base, current-production conditions, tenancy and rent effects.

Recap: Decoupled support is not tied to current output or input use, reducing the incentive to overproduce the supported item. Application depends on the design and dated evidence for "Decoupling" and should not be generalised to unlike programmes.

Core Session 30: Sunset clauses and evaluation

POLICY -> METRICS -> REVIEW DATE -> CONTINUE/REDESIGN/END

Visual first: Sunset clauses and evaluation as a decision chain.

Definition: A sunset clause ends or reviews support at a specified time unless evidence justifies continuation.

Answer line: Temporary problems need not create permanent subsidies.

Keywords: sunset, evaluation, baseline, outcome

Claim -> named evidence -> analysis -> qualification

• **Claim:** Temporary problems need not create permanent subsidies.

• **Named evidence:** Budget appraisal, outcome monitoring and independent evaluation are named evidence tools.

• **Analysis:** Political economy can weaken expiry, while rigid sunsets may terminate valuable counter-cyclical support.

• **Qualification:** Application depends on the design and dated evidence for "Sunset clauses and evaluation" and should not be generalised to unlike programmes.

Evidence: Budget appraisal, outcome monitoring and independent evaluation are named evidence tools.

UPSC trap: Do not use outlay or beneficiary count as the sole outcome.

Mains use: Predefine objectives, baseline, distributional and ecological metrics.

Recap: A sunset clause ends or reviews support at a specified time unless evidence justifies continuation. Application depends on the design and dated evidence for "Sunset clauses and evaluation" and should not be generalised to unlike programmes.

Core Session 31: Transition protection

DISTORTING SUPPORT DOWN + TEMPORARY PROTECTION + PUBLIC GOODS UP

Visual first: Transition protection as a decision chain.

Definition: Transition protection cushions losers during reform through temporary cash, debt adjustment, extension or livelihood support.

Answer line: Credible reform must manage distribution and sequencing, not only announce efficiency gains.

Keywords: transition, compensation, sequencing, just reform

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Credible reform must manage distribution and sequencing, not only announce efficiency gains.
- ****Named evidence:**** Phased tariff/input reforms and social-protection design supply the evidence framework.
- ****Analysis:**** Compensation can enable reform but becomes another permanent entitlement if not time-bound.
- ****Qualification:**** Application depends on the design and dated evidence for "Transition protection" and should not be generalised to unlike programmes.

****Evidence:**** Phased tariff/input reforms and social-protection design supply the evidence framework.

****UPSC trap:**** Do not prescribe shock withdrawal.

****Mains use:**** Identify losers, duration, financing and exit criteria.

****Recap:**** Transition protection cushions losers during reform through temporary cash, debt adjustment, extension or livelihood support. Application depends on the design and dated evidence for "Transition protection" and should not be generalised to unlike programmes.

Core Session 32: Agreement on Agriculture architecture

MARKET ACCESS | DOMESTIC SUPPORT | EXPORT COMPETITION

***Visual first:** Agreement on Agriculture architecture as a decision chain.

****Definition:**** The WTO Agreement on Agriculture disciplines agricultural trade through market access, domestic support and export competition.

****Answer line:**** The three pillars ask different legal questions and use different instruments.

****Keywords:**** AoA, three pillars, WTO

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The three pillars ask different legal questions and use different instruments.
- ****Named evidence:**** WTO Agreement on Agriculture and official agriculture gateway are the named authorities.
- ****Analysis:**** A measure can implicate more than one pillar, but box colour concerns domestic support.
- ****Qualification:**** Application depends on the design and dated evidence for "Agreement on Agriculture architecture" and should not be generalised to unlike programmes.

****Evidence:**** WTO Agreement on Agriculture and official agriculture gateway are the named authorities.

****UPSC trap:**** Do not call tariffs an Amber Box measure.

****Mains use:**** Classify the instrument before applying legal tests.

****Recap:**** The WTO Agreement on Agriculture disciplines agricultural trade through market access, domestic support and export competition. Application depends on the design and dated evidence for "Agreement on Agriculture architecture" and should not be generalised to unlike programmes.

Core Session 33: Market access pillar

LOW-RATE QUOTA -> TRQ THRESHOLD -> HIGHER RATE

***Visual first:** Market access pillar as a decision chain.

****Definition:**** Market access covers border protection, including tariffication, tariff bindings and tariff-rate quotas.

****Answer line:**** A tariff or TRQ is not classified through the domestic-support boxes.

****Keywords:**** market access, binding, TRQ, tariffication

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** A tariff or TRQ is not classified through the domestic-support boxes.
- ****Named evidence:**** AoA market-access provisions and members' schedules provide named evidence.
- ****Analysis:**** Applied tariffs may be below bound ceilings, creating policy space without changing the legal binding.
- ****Qualification:**** Application depends on the design and dated evidence for "Market access pillar" and should not be generalised to unlike programmes.

****Evidence:**** AoA market-access provisions and members' schedules provide named evidence.

****UPSC trap:**** Do not confuse bound, applied and effective protection.

****Mains use:**** State tariff type, bound/applied status and quota rule.

****Recap:**** Market access covers border protection, including tariffication, tariff bindings and tariff-rate quotas. Application depends on the design and dated evidence for "Market access pillar" and should not be generalised to unlike programmes.

Core Session 34: Domestic-support architecture

MEASURE -> GREEN? -> ART 6.2? -> BLUE? -> AMS/DE MINIMIS

***Visual first:** Domestic-support architecture as a decision chain.

****Definition:**** Domestic support first separates Annex 2 Green measures, Article 6.2 development measures and other exempt support from support tested within AMS rules.

****Answer line:**** No expenditure belongs in a box by name alone; eligibility follows conditions.

****Keywords:**** domestic support, exemption, AMS

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** No expenditure belongs in a box by name alone; eligibility follows conditions.

- ****Named evidence:**** AoA Articles 6-7 and Annexes 2-4 are the named legal evidence.

- ****Analysis:**** A scheme may have components with different treatment.

- ****Qualification:**** Application depends on the design and dated evidence for "Domestic-support architecture" and should not be generalised to unlike programmes.

****Evidence:**** AoA Articles 6-7 and Annexes 2-4 are the named legal evidence.

****UPSC trap:**** Do not say Green means environmentally green.

****Mains use:**** Apply legal conditions component by component.

****Recap:**** Domestic support first separates Annex 2 Green measures, Article 6.2 development measures and other exempt support from support tested within AMS rules. Application depends on the design and dated evidence for "Domestic-support architecture" and should not be generalised to unlike programmes.

Core Session 35: Export-competition pillar

EXPORT CONTINGENCY -> STRONGEST DISCIPLINE

***Visual first:** Export-competition pillar as a decision chain.

****Definition:**** Export competition disciplines support contingent on export performance and related export-financing, food-aid and state-trading practices.

****Answer line:**** Export subsidy is legally distinct from domestic support and border protection.

****Keywords:**** export subsidy, Nairobi, export finance

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Export subsidy is legally distinct from domestic support and border protection.

- ****Named evidence:**** WTO Nairobi Ministerial Decision of 19 December 2015 is the named current architecture.

- ****Analysis:**** Duty remission that merely returns eligible indirect taxes may differ from a prohibited excess benefit.

- ****Qualification:**** Application depends on the design and dated evidence for "Export-competition pillar" and should not be generalised to unlike programmes.

****Evidence:**** WTO Nairobi Ministerial Decision of 19 December 2015 is the named current architecture.

****UPSC trap:**** Do not label every export incentive an agricultural export subsidy without the legal test.

****Mains use:**** Identify contingency, benefit, product and remission benchmark.

****Recap:**** Export competition disciplines support contingent on export performance and related export-financing, food-aid and state-trading practices. Application depends on the design and dated evidence for "Export-competition pillar" and should not be generalised to unlike programmes.

Core Session 36: AMS market-price-support formula

$MPS = (AAP - FERP) \times ELIGIBLE\ PRODUCTION$

***Visual first:** AMS market-price-support formula as a decision chain.

****Definition:**** For an administered price measure, Annex 3 market-price support is calculated from the gap between applied administered price and fixed external reference price, multiplied by eligible production.

****Answer line:**** The legal calculation is not actual procurement expenditure or market revenue.

****Keywords:**** AMS, AAP, FERP, eligible production

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The legal calculation is not actual procurement expenditure or market revenue.

- ****Named evidence:**** AoA Annex 3 is the named authority; the fixed external reference price generally uses 1986-88 data.

- **Analysis:** Historical price and eligible-production choices can produce large disputes about measured support.
- **Qualification:** Application depends on the design and dated evidence for "AMS market-price-support formula" and should not be generalised to unlike programmes.
- Evidence:** AoA Annex 3 is the named authority; the fixed external reference price generally uses 1986-88 data.
- UPSC trap:** Do not multiply the price gap only by procured quantity unless legally justified as eligible production.
- Mains use:** Write formula, units, base period and coverage before calculating.
- Recap:** For an administered price measure, Annex 3 market-price support is calculated from the gap between applied administered price and fixed external reference price, multiplied by eligible production. Application depends on the design and dated evidence for "AMS market-price-support formula" and should not be generalised to unlike programmes.

Core Session 37: Product-specific and non-product-specific support

WHEAT SUPPORT -> PRODUCT-SPECIFIC
GENERAL INPUT SUPPORT -> NON-PRODUCT-SPECIFIC

- Visual first:** Product-specific and non-product-specific support as a decision chain.
- Definition:** Product-specific support is attributable to a particular agricultural product; non-product-specific support benefits agriculture generally.
- Answer line:** The two de minimis tests are calculated separately.
- Keywords:** product-specific, non-product-specific, de minimis
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** The two de minimis tests are calculated separately.
- **Named evidence:** AoA Article 6.4 and official WTO domestic-support guidance provide named evidence.
- **Analysis:** Classification depends on design and allocation, not programme title.
- **Qualification:** Application depends on the design and dated evidence for "Product-specific and non-product-specific support" and should not be generalised to unlike programmes.
- Evidence:** AoA Article 6.4 and official WTO domestic-support guidance provide named evidence.
- UPSC trap:** Do not net one category's negative value against another casually.
- Mains use:** Separate product, value of production and numerator for each test.
- Recap:** Product-specific support is attributable to a particular agricultural product; non-product-specific support benefits agriculture generally. Application depends on the design and dated evidence for "Product-specific and non-product-specific support" and should not be generalised to unlike programmes.

Core Session 38: Developing-country de minimis

PRODUCT TEST <10% | SEPARATE GENERAL TEST <10%

- Visual first:** Developing-country de minimis as a decision chain.
- Definition:** For developing members, product-specific support below 10% of that product's value of production and non-product-specific support below 10% of total agricultural production may be excluded, subject to the AoA calculation.
- Answer line:** The two thresholds are separate exemptions, not one 20% pool.
- Keywords:** 10 percent, value of production, separate tests
- Claim -> named evidence -> analysis -> qualification**
- **Claim:** The two thresholds are separate exemptions, not one 20% pool.
- **Named evidence:** AoA Article 6.4(b) is the named legal evidence.
- **Analysis:** Threshold comparison requires matching period, currency and production-value denominator.
- **Qualification:** Application depends on the design and dated evidence for "Developing-country de minimis" and should not be generalised to unlike programmes.
- Evidence:** AoA Article 6.4(b) is the named legal evidence.
- UPSC trap:** Do not add the two percentages or use procurement value as denominator.
- Mains use:** Show numerator, denominator, member category and period.
- Recap:** For developing members, product-specific support below 10% of that product's value of production and non-product-specific support below 10% of total agricultural production may be excluded, subject to the AoA calculation. Application depends on the design and dated evidence for "Developing-country de minimis" and should not be generalised to unlike programmes.

Core Session 39: Amber Box

NON-EXEMPT SUPPORT -> CURRENT TOTAL AMS

***Visual first:** Amber Box as a decision chain.

****Definition:**** Amber Box is shorthand for trade- or production-distorting domestic support that is not otherwise exempt and is counted toward AMS disciplines.

****Answer line:**** Amber does not mean prohibited; compliance depends on commitments, exemptions and de minimis.

****Keywords:**** Amber Box, Current Total AMS, commitment

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Amber does not mean prohibited; compliance depends on commitments, exemptions and de minimis.
- ****Named evidence:**** WTO official 'boxes' explanation and member schedules are named evidence.
- ****Analysis:**** Developing members without a positive bound Total AMS rely on exemptions and de minimis for such support.
- ****Qualification:**** Application depends on the design and dated evidence for "Amber Box" and should not be generalised to unlike programmes.
- **Evidence:**** WTO official 'boxes' explanation and member schedules are named evidence.
- **UPSC trap:**** Do not equate budget size with notified Amber value.

****Mains use:**** Classify, calculate and compare with the relevant commitment.

****Recap:**** Amber Box is shorthand for trade- or production-distorting domestic support that is not otherwise exempt and is counted toward AMS disciplines. Application depends on the design and dated evidence for "Amber Box" and should not be generalised to unlike programmes.

Core Session 40: Green Box

GENERAL TEST + POLICY-SPECIFIC TEST -> EXEMPT

***Visual first:** Green Box as a decision chain.

****Definition:**** Green Box measures must be publicly funded, not involve consumer transfers and not provide price support, plus meet the specific Annex 2 policy criteria.

****Answer line:**** Green status is conditional, not self-declared.

****Keywords:**** Green Box, Annex 2, public funding

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Green status is conditional, not self-declared.
- ****Named evidence:**** AoA Annex 2 and WTO official boxes page are the named authority.
- ****Analysis:**** Government service, disaster, environmental or decoupled-payment categories have different detailed conditions.
- ****Qualification:**** Application depends on the design and dated evidence for "Green Box" and should not be generalised to unlike programmes.
- **Evidence:**** AoA Annex 2 and WTO official boxes page are the named authority.
- **UPSC trap:**** Green does not mean small, environmental or harmless.

****Mains use:**** Quote the general and category-specific conditions.

****Recap:**** Green Box measures must be publicly funded, not involve consumer transfers and not provide price support, plus meet the specific Annex 2 policy criteria. Application depends on the design and dated evidence for "Green Box" and should not be generalised to unlike programmes.

Core Session 41: Blue Box

DIRECT PAYMENT + PRODUCTION LIMIT -> BLUE

***Visual first:** Blue Box as a decision chain.

****Definition:**** Blue Box covers qualifying direct payments under production-limiting programmes based on fixed area/yields, a fixed number of livestock, or 85% or less of a fixed base production level.

****Answer line:**** Blue is an exemption tied to production-limiting design, not a generic colour for moderate support.

****Keywords:**** Blue Box, fixed base, production limit

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Blue is an exemption tied to production-limiting design, not a generic colour for moderate support.
- ****Named evidence:**** AoA Article 6.5 and WTO official boxes page are named evidence.
- ****Analysis:**** Exact programme conditions matter; an ordinary input subsidy does not become Blue.
- ****Qualification:**** Application depends on the design and dated evidence for "Blue Box" and should not be generalised to unlike programmes.
- **Evidence:**** AoA Article 6.5 and WTO official boxes page are named evidence.

****UPSC trap:**** Do not call PM-KISAN Blue merely because it is a direct payment.

****Mains use:**** Test the fixed base and production-limiting condition.

****Recap:**** Blue Box covers qualifying direct payments under production-limiting programmes based on fixed area/yields, a fixed number of livestock, or 85% or less of a fixed base production level. Application depends on the design and dated evidence for "Blue Box" and should not be generalised to unlike programmes.

Core Session 42: Article 6.2 development box

DEVELOPING MEMBER + QUALIFYING DESIGN -> EXEMPT

***Visual first:** Article 6.2 development box as a decision chain.

****Definition:**** Article 6.2 exempts specified developing-country investment subsidies, generally available agricultural input subsidies for low-income or resource-poor producers, and certain diversification support.

****Answer line:**** The provision is conditional and beneficiary definition matters.

****Keywords:**** Article 6.2, low-income, resource-poor

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The provision is conditional and beneficiary definition matters.

- ****Named evidence:**** AoA Article 6.2 is the named legal evidence.

- ****Analysis:**** India must transparently define and notify qualifying measures; not every input subsidy is automatically exempt.

- ****Qualification:**** Application depends on the design and dated evidence for "Article 6.2 development box" and should not be generalised to unlike programmes.

****Evidence:**** AoA Article 6.2 is the named legal evidence.

****UPSC trap:**** Do not treat 'developing country' as a blanket exemption.

****Mains use:**** State the measure, beneficiary test and notification basis.

****Recap:**** Article 6.2 exempts specified developing-country investment subsidies, generally available agricultural input subsidies for low-income or resource-poor producers, and certain diversification support. Application depends on the design and dated evidence for "Article 6.2 development box" and should not be generalised to unlike programmes.

Core Session 43: Public stockholding problem

PROCUREMENT + FOOD SECURITY -> STOCK
ADMINISTERED PRICE -> AMS ISSUE

***Visual first:** Public stockholding problem as a decision chain.

****Definition:**** Public stockholding buys and holds food for food security; support concerns arise when acquisition at an administered price enters AMS calculations.

****Answer line:**** Food-security purpose does not erase AoA calculation rules.

****Keywords:**** public stockholding, food security, administered price

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Food-security purpose does not erase AoA calculation rules.

- ****Named evidence:**** AoA Annex 2 paragraph 3 and Bali 2013 decision provide named evidence.

- ****Analysis:**** Public stocks can stabilise access while creating trade spillovers if released or accumulated without safeguards.

- ****Qualification:**** Application depends on the design and dated evidence for "Public stockholding problem" and should not be generalised to unlike programmes.

****Evidence:**** AoA Annex 2 paragraph 3 and Bali 2013 decision provide named evidence.

****UPSC trap:**** Do not confuse consumer distribution subsidy with producer market-price support.

****Mains use:**** Separate acquisition price, stock operation, distribution and trade effects.

****Recap:**** Public stockholding buys and holds food for food security; support concerns arise when acquisition at an administered price enters AMS calculations. Application depends on the design and dated evidence for "Public stockholding problem" and should not be generalised to unlike programmes.

Core Session 44: Bali peace-clause conditions

QUALIFYING PROGRAMME + CONDITIONS -> DUE RESTRAINT

***Visual first:** Bali peace-clause conditions as a decision chain.

****Definition:**** The 7 December 2013 Bali decision created interim due restraint for qualifying public-stockholding programmes for traditional staple food crops existing on that date, subject to notification, transparency, safeguards, consultation and monitoring.

****Answer line:**** The peace clause is conditional protection from specified challenge, not a rewrite of the AMS formula.

****Keywords:**** Bali, peace clause, due restraint, safeguards

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** The peace clause is conditional protection from specified challenge, not a rewrite of the AMS formula.

- ****Named evidence:**** WTO Ministerial Decision WT/MIN(13)/38 is the named authority.

- ****Analysis:**** It does not automatically cover every future programme or excuse export displacement and food-security harm to others.

- ****Qualification:**** Application depends on the design and dated evidence for "Bali peace-clause conditions" and should not be generalised to unlike programmes.

****Evidence:**** WTO Ministerial Decision WT/MIN(13)/38 is the named authority.

****UPSC trap:**** Do not call it a permanent exemption.

****Mains use:**** List programme scope, conditions and protected legal claims.

****Recap:**** The 7 December 2013 Bali decision created interim due restraint for qualifying public-stockholding programmes for traditional staple food crops existing on that date, subject to notification, transparency, safeguards, consultation and monitoring. Application depends on the design and dated evidence for "Bali peace-clause conditions" and should not be generalised to unlike programmes.

Core Session 45: 2014 extension and current status

BALI INTERIM -> 2014 UNTIL PERMANENT SOLUTION -> NEGOTIATIONS

***Visual first:** 2014 extension and current status as a decision chain.

****Definition:**** The 28 November 2014 General Council decision states that the Bali mechanism remains until a permanent solution is agreed and adopted.

****Answer line:**** As of the 10 September 2026 source cutoff, no adopted permanent solution was located in WTO official materials.

****Keywords:**** WT/L/939, permanent solution, current status

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** As of the 10 September 2026 source cutoff, no adopted permanent solution was located in WTO official materials.

- ****Named evidence:**** WTO document WT/L/939 and post-MC14 agriculture materials are the named evidence.

- ****Analysis:**** Absence of an adopted permanent solution should not be converted into a forecast about future negotiations.

- ****Qualification:**** Application depends on the design and dated evidence for "2014 extension and current status" and should not be generalised to unlike programmes.

****Evidence:**** WTO document WT/L/939 and post-MC14 agriculture materials are the named evidence.

****UPSC trap:**** Do not say the peace clause expired at MC11.

****Mains use:**** Date the status and separate negotiating proposals from adopted law.

****Recap:**** The 28 November 2014 General Council decision states that the Bali mechanism remains until a permanent solution is agreed and adopted. Application depends on the design and dated evidence for "2014 extension and current status" and should not be generalised to unlike programmes.

Core Session 46: Fixed reference price and inflation debate

HISTORICAL FERP + CURRENT AAP -> NOMINAL GAP

***Visual first:** Fixed reference price and inflation debate as a decision chain.

****Definition:**** AoA market-price support uses a fixed historical external reference price, generally 1986-88, creating disputes when nominal administered prices rise with inflation.

****Answer line:**** A larger nominal gap can reflect inflation as well as policy support.

****Keywords:**** 1986-88, inflation, reference price, currency

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** A larger nominal gap can reflect inflation as well as policy support.

- ****Named evidence:**** AoA Annex 3 and public-stockholding negotiations provide named evidence.

- ****Analysis:**** Members disagree on updating, currency treatment and programme coverage; no negotiated change should be assumed.

- ****Qualification:**** Application depends on the design and dated evidence for "Fixed reference price and inflation debate" and should not be generalised to unlike programmes.

****Evidence:**** AoA Annex 3 and public-stockholding negotiations provide named evidence.

****UPSC trap:**** Do not unilaterally inflation-index the legal formula when stating current rules.

****Mains use:**** Present the rule first and reform arguments second.

****Recap:**** AoA market-price support uses a fixed historical external reference price, generally 1986-88, creating disputes when nominal administered prices rise with inflation. Application depends on the design and dated evidence for "Fixed reference price and inflation debate" and should not be generalised to unlike programmes.

Core Session 47: Eligible production trap

ANNOUNCED ELIGIBILITY != ACTUAL PURCHASE

***Visual first:** Eligible production trap as a decision chain.

****Definition:**** Eligible production is the quantity legally eligible to receive the applied administered price, which may differ from actual procurement.

****Answer line:**** Quantity definition can dominate the AMS result.

****Keywords:**** eligible production, procurement quantity, coverage

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Quantity definition can dominate the AMS result.
- ****Named evidence:**** AoA Annex 3 and dispute/notification practice are the named evidence class.
- ****Analysis:**** Programme wording, credible availability and implementation facts matter; one universal proxy is unsafe.
- ****Qualification:**** Application depends on the design and dated evidence for "Eligible production trap" and should not be generalised to unlike programmes.
- ****Evidence:**** AoA Annex 3 and dispute/notification practice are the named evidence class.

****UPSC trap:**** Do not substitute total production or procurement automatically.

****Mains use:**** Define eligible production with documentary evidence.

****Recap:**** Eligible production is the quantity legally eligible to receive the applied administered price, which may differ from actual procurement. Application depends on the design and dated evidence for "Eligible production trap" and should not be generalised to unlike programmes.

Core Session 48: Notification discipline

DOMESTIC DATA -> WTO TABLE -> REVIEW QUESTIONS

***Visual first:** Notification discipline as a decision chain.

****Definition:**** WTO agricultural support must be notified in prescribed tables with measure, value, legal category and supporting calculation.

****Answer line:**** Transparency is part of compliance and permits peer scrutiny.

****Keywords:**** notification, transparency, Committee on Agriculture

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Transparency is part of compliance and permits peer scrutiny.
 - ****Named evidence:**** WTO Agriculture Information Management System and Committee on Agriculture review are named evidence.
 - ****Analysis:**** Late or incomplete notifications create uncertainty; search-result snippets are not reliable numerical evidence.
 - ****Qualification:**** Application depends on the design and dated evidence for "Notification discipline" and should not be generalised to unlike programmes.
 - ****Evidence:**** WTO Agriculture Information Management System and Committee on Agriculture review are named evidence.
- **UPSC trap:**** Never infer an Indian notification value without the official document/table.
- **Mains use:**** Cite document code, period, currency, method and status.

****Recap:**** WTO agricultural support must be notified in prescribed tables with measure, value, legal category and supporting calculation. Application depends on the design and dated evidence for "Notification discipline" and should not be generalised to unlike programmes.

Core Session 49: Export subsidy, incentive and remission

EXPORT CONTINGENCY? -> BENEFIT TEST
REMISSION -> TAX ACTUALLY BORNE?

***Visual first:** Export subsidy, incentive and remission as a decision chain.

****Definition:**** An export subsidy confers a benefit contingent on export; an incentive is a broader policy label; remission returns eligible taxes or duties and becomes suspect if it exceeds verified incidence.

****Answer line:**** Legal effect, not scheme branding, controls classification.

****Keywords:**** export subsidy, incentive, remission, contingency

****Claim -> named evidence -> analysis -> qualification****

• ****Claim:**** Legal effect, not scheme branding, controls classification.

• ****Named evidence:**** AoA export-competition rules, Nairobi decision and relevant subsidy disciplines provide named evidence.

• ****Analysis:**** Export credit, state trading and food aid also face disciplines without being identical instruments.

• ****Qualification:**** Application depends on the design and dated evidence for "Export subsidy, incentive and remission" and should not be generalised to unlike programmes.

****Evidence:**** AoA export-competition rules, Nairobi decision and relevant subsidy disciplines provide named evidence.

****UPSC trap:**** Do not call every remission an export subsidy or every incentive permissible.

****Mains use:**** Test contingency, excess remission and product coverage.

****Recap:**** An export subsidy confers a benefit contingent on export; an incentive is a broader policy label; remission returns eligible taxes or duties and becomes suspect if it exceeds verified incidence. Application depends on the design and dated evidence for "Export subsidy, incentive and remission" and should not be generalised to unlike programmes.

Core Session 50: Developed-country comparison

RAW OUTLAY X != COMPARABLE SUPPORT
NORMALISE -> THEN COMPARE

***Visual first:** Developed-country comparison as a decision chain.

****Definition:**** Cross-country support comparisons require common definitions, currency, output value and legal category.

****Answer line:**** Large nominal spending does not alone establish greater distortion.

****Keywords:**** comparability, notification, denominator, bound AMS

****Claim -> named evidence -> analysis -> qualification****

• ****Claim:**** Large nominal spending does not alone establish greater distortion.

• ****Named evidence:**** WTO notifications and OECD-style indicators are different evidence systems and should not be merged silently.

• ****Analysis:**** Countries have different bound commitments, Green measures, production values and programme structures.

• ****Qualification:**** Application depends on the design and dated evidence for "Developed-country comparison" and should not be generalised to unlike programmes.

****Evidence:**** WTO notifications and OECD-style indicators are different evidence systems and should not be merged silently.

****UPSC trap:**** Do not compare one country's budget outlay with another's notified AMS.

****Mains use:**** Use matched metric, year, exchange basis and denominator.

****Recap:**** Cross-country support comparisons require common definitions, currency, output value and legal category. Application depends on the design and dated evidence for "Developed-country comparison" and should not be generalised to unlike programmes.

Core Session 51: Food security versus trade distortion

FOOD SECURITY GOAL + DESIGN SAFEGUARDS -> LOWER SPILLOVER

***Visual first:** Food security versus trade distortion as a decision chain.

****Definition:**** Food security concerns availability, access, utilisation and stability; trade distortion concerns effects on production, prices and other members.

****Answer line:**** The policy debate is about design and burden-sharing, not a binary choice between hunger and rules.

****Keywords:**** food security, trade distortion, safeguards

****Claim -> named evidence -> analysis -> qualification****

• ****Claim:**** The policy debate is about design and burden-sharing, not a binary choice between hunger and rules.

• ****Named evidence:**** Bali safeguards and AoA food-security provisions provide named evidence.

• ****Analysis:**** Procurement can support access, yet excessive stocks or export leakage may depress world prices and harm producers elsewhere.

• ****Qualification:**** Application depends on the design and dated evidence for "Food security versus trade distortion" and should not be generalised to unlike programmes.

****Evidence:**** Bali safeguards and AoA food-security provisions provide named evidence.

****UPSC trap:**** Do not presume motive determines market effect.

****Mains use:**** Balance procurement need, targeting, stock rules, transparency and disposal safeguards.

****Recap:**** Food security concerns availability, access, utilisation and stability; trade distortion concerns effects on production, prices and other members. Application depends on the design and dated evidence for "Food security versus trade distortion" and should not be generalised to unlike programmes.

Core Session 52: Integrated reform package

TARGET CASH + PUBLIC GOODS + PRICE SIGNALS + SAFETY NET + EVALUATION

***Visual first:** Integrated reform package as a decision chain.

****Definition:**** Durable reform replaces open-ended input distortion with targeted income/risk support, public goods, corrected prices and transition protection.

****Answer line:**** No single instrument can simultaneously solve income, risk, ecology and WTO exposure.

****Keywords:**** policy mix, sequencing, transition, evaluation

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** No single instrument can simultaneously solve income, risk, ecology and WTO exposure.

- ****Named evidence:**** Budget composition, incidence studies, resource accounts and AoA rules create the evidence base.

- ****Analysis:**** Administrative capacity and federal variation constrain speed; pilots and feedback are necessary.

- ****Qualification:**** Application depends on the design and dated evidence for "Integrated reform package" and should not be generalised to unlike programmes.

****Evidence:**** Budget composition, incidence studies, resource accounts and AoA rules create the evidence base.

****UPSC trap:**** Do not propose abrupt universal withdrawal or pure cash substitution.

****Mains use:**** Sequence data repair, service quality, capped support, compensation and review.

****Recap:**** Durable reform replaces open-ended input distortion with targeted income/risk support, public goods, corrected prices and transition protection. Application depends on the design and dated evidence for "Integrated reform package" and should not be generalised to unlike programmes.

Core Session 53: Boundary with Topic 12

TOPIC 28: SUPPORT/WTO

TOPIC 12: MSP-PROCUREMENT-PDS DEPTH

***Visual first:** Boundary with Topic 12 as a decision chain.

****Definition:**** Topic 28 analyses subsidy design and WTO treatment; Topic 12 owns detailed MSP, procurement, buffer-stock and PDS operations.

****Answer line:**** Cross-links should clarify rather than duplicate.

****Keywords:**** MSP boundary, PDS boundary, scope

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Cross-links should clarify rather than duplicate.

- ****Named evidence:**** The subject syllabus map is the named organising evidence.

- ****Analysis:**** A subsidy answer may mention procurement only to distinguish instruments and legal calculations.

- ****Qualification:**** Application depends on the design and dated evidence for "Boundary with Topic 12" and should not be generalised to unlike programmes.

****Evidence:**** The subject syllabus map is the named organising evidence.

****UPSC trap:**** Do not reproduce the entire food-management architecture here.

****Mains use:**** Use a one-line cross-link and return to subsidy incidence or AoA.

****Recap:**** Topic 28 analyses subsidy design and WTO treatment; Topic 12 owns detailed MSP, procurement, buffer-stock and PDS operations. Application depends on the design and dated evidence for "Boundary with Topic 12" and should not be generalised to unlike programmes.

Core Session 54: Boundary with Topic 20

TOPIC 28: AoA SUPPORT

TOPIC 20: GENERAL TRADE LAW

***Visual first:** Boundary with Topic 20 as a decision chain.

****Definition:**** Topic 28 owns farm-support rules under AoA; Topic 20 owns general WTO institutions, tariffs, services, trade remedies and FTA architecture.

****Answer line:**** Scope control improves analytical depth.

****Keywords:**** WTO boundary, scope control, AoA

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Scope control improves analytical depth.
- ****Named evidence:**** The subject syllabus map is the named organising evidence.
- ****Analysis:**** Market access appears here only to locate the AoA pillar.
- ****Qualification:**** Application depends on the design and dated evidence for "Boundary with Topic 20" and should not be generalised to unlike programmes.

****Evidence:**** The subject syllabus map is the named organising evidence.

****UPSC trap:**** Do not turn this topic into a general WTO essay.

****Mains use:**** Keep box rules, AMS and public stockholding central.

****Recap:**** Topic 28 owns farm-support rules under AoA; Topic 20 owns general WTO institutions, tariffs, services, trade remedies and FTA architecture. Application depends on the design and dated evidence for "Boundary with Topic 20" and should not be generalised to unlike programmes.

Core Session 55: Final answer architecture

DEFINE -> CLASSIFY -> EVIDENCE -> EFFECTS -> WTO -> REFORM -> QUALIFY

***Visual first:** Final answer architecture as a decision chain.

****Definition:**** A high-scoring answer moves from definition to support map, incidence, fiscal/ecological effects, WTO classification and sequenced reform.

****Answer line:**** Structure converts a scheme list into analysis.

****Keywords:**** answer spine, classification, reform, qualification

****Claim -> named evidence -> analysis -> qualification****

- ****Claim:**** Structure converts a scheme list into analysis.
- ****Named evidence:**** The 2023 GS-III question and official budget/AoA sources provide the exam anchor.
- ****Analysis:**** One dated figure is useful; many unconnected figures crowd out reasoning.
- ****Qualification:**** Application depends on the design and dated evidence for "Final answer architecture" and should not be generalised to unlike programmes.

****Evidence:**** The 2023 GS-III question and official budget/AoA sources provide the exam anchor.

****UPSC trap:**** Do not end with 'remove all subsidies' or 'WTO is unfair' without design.

****Mains use:**** Conclude with targeted, transparent, nutrient-neutral and transition-safe support.

****Recap:**** A high-scoring answer moves from definition to support map, incidence, fiscal/ecological effects, WTO classification and sequenced reform. Application depends on the design and dated evidence for "Final answer architecture" and should not be generalised to unlike programmes.

Optional Advanced

A. Incidence decomposition

Decompose each rupee into statutory recipient, price pass-through, quantity response, rent capitalisation and external cost. This avoids equating accounting outlay with welfare gain.

B. Coupling ladder

Rank support from tightly coupled input/output subsidy through partially coupled risk support to decoupled income and public-good provision. Lower coupling usually reduces distortion, but land-linked transfers may still exclude tenants or raise rents.

C. Political-economy constraint

Visible concentrated benefits and diffuse delayed costs create reform resistance. Credible compensation, service reliability, federal bargains and transparent review matter as much as textbook efficiency.

D. Legal calculation protocol

For any WTO claim, preserve document code, member category, notification period, currency, fixed external reference price, eligible-production rule, value-of-production denominator and exemption invoked. Never reconstruct a notification value from a news report.

Consolidated Register Notes

Definitions and distinctions

- Direct/indirect and explicit/implicit are separate classification axes.
- Legal recipient differs from economic incidence.
- MSP announcement, procurement expenditure, fiscal subsidy and WTO market-price support are not synonyms.
- Fertiliser DBT reimburses companies on verified PoS sales; PM-KISAN transfers income to eligible families.
- NBS covers notified P&K grades; urea remains under a separate framework.

Dated current anchors

- Union Budget 2026-27 Statement 7 BE: urea subsidy Rs 1,16,799 crore; NBS Rs 54,000 crore; combined fertiliser subsidy Rs 1,70,799 crore.
- PM-KISAN official guidelines provide Rs 6,000 yearly in three Rs 2,000 instalments to eligible landholding farmer families; Statement 7 gives it Rs 60,000 crore as FY 2026-27 BE.
- Fertiliser DBT began in October 2016 and completed pan-India rollout by March 2018.
- NBS has operated from 1 April 2010; the Department of Fertilisers page checked at the cutoff lists 28 P&K grades.
- Bali public-stockholding decision: 7 December 2013; WT/L/939: 28 November 2014; no adopted permanent solution located by the cutoff.

WTO calculation card

- AoA pillars: market access, domestic support, export competition.
- $MPS = (\text{applied administered price} - \text{fixed external reference price}) \times \text{eligible production}$.
- Developing-country de minimis: product-specific below 10% of product value and non-product-specific below 10% of total agricultural production, tested separately.
- Green Box is legally conditional, not environmentally labelled; Blue Box requires production-limiting design; Article 6.2 is conditional.
- Public-stockholding due restraint is conditional and not a permanent AMS exemption.

Reform spine

- Diagnose the exact failure; target the beneficiary; protect tenants and smallholders.
- Correct relative prices and meter use while providing lifeline support.
- Shift toward public goods, balanced nutrients, risk tools and decoupled income where suitable.
- Use transition compensation, grievance redress, sunset review and ecological metrics.

Source register

- Union Budget 2026-27, Expenditure Profile, Statement 7.
- Department of Fertilisers: DBT wing; P&K/NBS policy page.
- WTO Agreement on Agriculture, Articles 6-7 and Annexes 2-4.
- WTO Bali Decision WT/MIN(13)/38; General Council Decision WT/L/939; Nairobi export-competition decision.
- PM-KISAN and PMFBY official scheme materials. Current values are not inferred from unofficial summaries.